Agentic AI and Labor Displacement: A Policy Framework for Infrastructure Scale

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Part 1: Problem Analysis and Research Foundations

1.1 Problem Identification and Ethical Context

This policy analysis addresses a singular, bounded problem: the deployment of autonomous AI agents at scale displaces human labor without corresponding regulatory requirements for worker protection or transition support. In February 2024, Klarna, a Swedish fintech company, publicly announced that its AI customer service assistant had displaced the equivalent of 700 full-time employees in a single month, performing the same volume of work that would have required human staff working across 235 countries and territories. The company simultaneously froze new hiring and allowed attrition to reduce overall headcount, reducing a workforce of approximately 5,000 to 3,800 employees within the following year. Critically, Klarna acknowledged the macroeconomic implications of this decision in public statements while providing no corresponding commitments to displaced worker retraining, severance enhancement, or transition support.

At the core of the problem is fairness and dignity. When AI agents replace human workers at scale and without policy guardrails, the benefits of automation (lower costs, faster service, higher profitability) accrue to capital owners, while the harms (income loss, employment instability, community disruption) concentrate on displaced workers who have the fewest resources to absorb them. This violates the ethical principle that technological deployment should not create systematic harms for vulnerable populations without corresponding mitigation. The problem is not that Klarna used AI. The problem is that it deployed an agent capable of displacing 700 workers in a regulatory vacuum, with no requirement to notify affected employees, contribute to retraining funds, or demonstrate that less harmful alternatives were considered.

The scope of this analysis is deliberately narrow: AI-driven labor displacement in enterprise deployment scenarios, with emphasis on customer-facing roles where agentic systems are currently most viable. This excludes broader questions about technological unemployment rates or the long-term future of work. It also excludes predatory use cases (where AI is deliberately optimized to exploit users) and data privacy violations, which are separate ethical problems requiring separate policy responses. The focus on labor displacement allows for engagement with the specific mechanisms of harm and the specific policy tools that could address them.

The boundary between this problem and related issues is important: Air Canada's chatbot hallucinating a bereavement policy is a consumer protection problem (resolved through liability law). A company using AI to manipulate vulnerable customers is a predatory practice problem (resolved through duty-of-care regulation). 700 workers losing their livelihoods in a single month with no transition support is a labor displacement problem, and it requires a different policy approach than either of those other cases address.

1.2 Research and Use of Sources

This analysis draws on fourteen sources spanning three domains: empirical research on automation and labor economics, frameworks for AI governance and accountability, and case evidence from infrastructure companies and regulatory bodies. The theoretical foundation rests on Acemoglu and Restrepo's (2019, 2020) landmark research distinguishing between displacement effects (automation replacing workers) and reinstatement effects (new employment opportunities emerging). Their key insight, drawn from decades of automation research, is that there is no economic law guaranteeing reinstatement catches up to displacement. Some

automation technologies are 'so-so' — productive enough to replace workers but not productive enough to generate equivalent new employment. Klarna's AI assistant fits this category precisely.

Gupta and Kumar (2026) extend this framework specifically to agentic AI, arguing that autonomous agents execute entire workflows end-to-end, meaning entire occupations disappear rather than individual tasks. Their analysis identifies customer service and administrative roles as among the highest-displacement occupational categories, with the inflection point calibrated to Q2 2024, exactly when Klarna deployed its system. This theoretical grounding is essential because it explains why agentic AI displacement is different from prior automation waves and why existing labor protections, designed around task-level automation, are insufficient.

The Deloitte (2025) infrastructure report provides current empirical evidence that this is not a future concern but an immediate operational challenge. Data center executives cite skilled labor shortage as a top workforce challenge, while electrical technician postings climbed 180 percent and power plant operator postings rose 56 percent. This shows that infrastructure companies are already facing labor market pressure in the AI buildout phase. The policy implications are direct: companies deploying agentic AI in data center operations should anticipate and mitigate similar displacement effects now.

Horneber and Laumer (2023) provide the accountability framework essential to understanding the policy gap. They distinguish answerability (who explains), liability (who bears legal consequences), and responsibility (who had control). In complex AI deployments across supply chains, these separate across developers, deployers, and regulators, creating what they deem an accountability gap. Klarna provides a clear case: the company deployed, but OpenAI provided the underlying model; neither bore legal liability for the labor harm; regulators had no

authority to intervene. This framework clarifies why standard corporate liability law is insufficient.

Supporting sources establish both precedent and implementation. The EU AI Act (2024) classifies high-risk automated systems but does not yet mandate labor protections. Korea's automation tax (2017) and Singapore's SkillsFuture program provide models for how governments have approached retraining and workforce transition.

The World Economic Forum (2025) Future of Jobs Report projects that AI will eliminate millions of administrative and customer-facing roles within the decade, and the Brookings Institution (2026) provides rigorous evidence on data center employment effects, showing they create fewer jobs than commonly claimed and concentrate in temporary construction roles. These sources establish that Klarna is just a preview of widespread AI-driven displacement.

Part 2: Policy Analysis and Reasoning

2.1 Stakeholder Analysis

The Klarna case involves five distinct stakeholder groups with different interests and power asymmetries. First, displaced and at-risk customer service workers represent the primary stakeholders bearing direct harm. These are frontline workers, often employed through third-party Business Process Outsourcing contractors, who disproportionately represent lower-wage earners with limited access to retraining resources or income smoothing. Their displacement was the direct outcome of the AI system's deployment. The ethical framework prioritizes their interests because they bear concentrated, involuntary harm with no compensation and no input into the decision.

Second, Klarna's executive leadership, particularly CEO Sebastian Siemiatkowski, represents the corporate decision-maker who defined the strategic objective (workforce cost

reduction) and chose to measure displacement as a performance achievement. This framing illustrates how executive incentive structures shape AI deployment ethics. Executives benefit from lower labor costs while bearing no personal consequence for displaced workers.

Third, Klarna's 150 million customers across 45 countries are stakeholders. As the AI assistant became the default customer service interface, these users interacted with an autonomous system frequently without clear disclosure that they were not engaging with human agents. While customer satisfaction metrics were cited as evidence the system worked, the substitution itself raised unaddressed questions about consent, transparency, and the right to escalate to human support.

Fourth, OpenAI occupies a critical but diffused stakeholder position in the supply chain. As the technology provider of the underlying model infrastructure, OpenAI benefits commercially from enterprise deployments at Klarna's scale while bearing no direct accountability for downstream labor consequences. This separation of benefit from responsibility is the central accountability gap: OpenAI profits, but Klarna faces any legal liability, while neither faces direct pressure to consider worker welfare.

Fifth, policymakers and labor regulators across EU, Swedish, and global jurisdictions are reactive stakeholders whose absence from the decision-making process allowed this deployment to proceed without impact assessment or worker protection requirements. Klarna operates under the EU's legal jurisdiction, including the AI Act and labor law frameworks, yet neither mandates specific protections for workers affected by agentic AI deployment.

2.2 Policy Advocacy and Feasibility

Four policy mechanisms should govern agentic AI deployment at the scale demonstrated by Klarna. These proposals are implementable regulations based on existing precedent and infrastructure company commitments.

The first mechanism is mandatory disclosure: Right to Know requirements for affected workers. When a company deploys an agentic AI system that will displace or significantly alter roles for 50 or more full-time equivalents, it must provide affected workers with: advance notice of the deployment timeline, clear documentation of roles to be eliminated or materially changed, information about available transition support, and written commitment to severance or retraining provisions. This precedent exists in EU restructuring directives requiring advance notice for mass layoffs. Extending it to AI-driven displacement is straightforward regulatory work. Klarna's deployment with simultaneous hiring freeze and attrition strategy explicitly circumvented traditional layoff notice requirements by using attrition. Mandatory disclosure closes this gap.

The second mechanism is regulatory review thresholds: AI Impact Assessment Requirements. Before deploying an agentic system projected to displace more than a de minimis number of roles (fifty suggested), companies must conduct and publicly file an AI impact assessment documenting: the number of roles displaced or materially altered, characteristics of affected workers, alternatives considered (including less-automating approaches), mitigation strategies (retraining, severance, retention programs), and timeline for implementation. This parallels environmental impact assessments and NIST AI RMF governance structures already adopted by infrastructure companies. The burden is not prohibitive, as impact assessments exist as standard practice in regulated industries. The result is greater visibility of decision-making rather than automation prevention.

The third mechanism is worker transition funds in the forms of Automation Tax and Retraining Requirements. Companies deploying agentic systems at displacement scale should contribute to regional worker retraining and income-support programs on a sliding scale: a one-time contribution based on the number of roles eliminated, calculated as a percentage of the savings generated by automation. Precedent is robust. Korea implemented an automation tax in 2017 requiring companies that reduce labor force through automation to contribute to retraining. Singapore's SkillsFuture program pools employer contributions to fund national upskilling. The economic argument is straightforward: if automation generates private gains by socializing labor market costs (displaced workers strain public benefits, reduced tax revenue), policy should realign incentives. Klarna's CEO publicly acknowledged the 'need for steady stewardship' of this transformation. Stewardship means funding.

The fourth mechanism is supply chain accountability: Third-Party Model Provider Responsibility. When AI model providers distribute systems to enterprise customers, they should commit contractually to impact mitigation requirements and share accountability for deployment harms. OpenAI could require enterprise deployment licenses to include impact assessment, worker notification, and retraining commitment provisions as conditions of use. While this does not prohibit deployment, it does make the terms of deployment explicit and enforceable. Horneber and Laumer's accountability framework shows this is essential because diffused responsibility (OpenAI provides, Klarna deploys, regulators are absent) creates the vacuum where harm occurs without consequence.

These policies are feasible because they draw on existing regulatory models and align with commitments companies have already made. NIST's AI Risk Management Framework, adopted by federal contractors and referenced by the FTC and SEC, includes governance and

impact assessment categories. The EU AI Act's risk-classification structure provides template language. Implementation is straightforward regulatory work.

2.3 Critique and Unintended Consequences

This policy framework will face predictable objections and carries genuine unintended consequences worth acknowledging. The first objection is competitive disadvantage: companies complying with impact assessment, retraining, and automation tax requirements will face higher deployment costs than competitors in jurisdictions without such requirements. This is a real concern and reflects the collective-action problem inherent in labor policy. The standard policy response is jurisdiction-level coordination (GDPR created similar dynamics; companies comply globally because the largest markets require it) or tariff/trade provisions that account for labor externalities. The Klarna case is instructive here: Klarna operates globally and across EU jurisdiction precisely because EU standards are high enough that compliance is not prohibitive. The company faced no real competitive disadvantage, only a choice to externalize labor costs rather than absorb them.

The second objection is valid and centers on implementation burden: smaller companies cannot conduct impact assessments or administer retraining programs the way large enterprises can. Policy design should scale requirements with company size and resources. A fifty-person startup displacing ten roles should face different requirements than a five-thousand-person company displacing seven hundred. The point is not uniform bureaucracy but proportional accountability.

The third unintended consequence is substitution effects: companies might respond to labor-protection requirements by accelerating capital substitution toward even more autonomous systems, or relocating operations to lower-regulation jurisdictions entirely. The

labor-displacement impact could worsen despite policies designed to mitigate it. Policies should facilitate workforce transition paired with policies that redistribute automation gains (progressive taxation on AI-driven corporate profits, social insurance funded by those gains). The Klarna example shows that without redistribution, acceleration happens anyway.

The fourth unintended consequence is regional variance. Some jurisdictions will adopt these policies but others will not. The initial effect will be geographic clustering of AI deployment in low-regulation zones. Over time, coordination pressure (large global companies prefer unified standards) and competitive pressure (jurisdictions with skilled workforces attract investment) create dynamics toward convergence. The GDPR example points to how fragmentation gave way to de facto global adoption because the largest markets required it and the compliance cost was not prohibitive for multinational firms.

A final consideration is whether these policies address the root problem or merely manage its symptoms. Labor displacement from AI is fundamentally caused by the fact that agentic AI is more cost-effective than human labor for certain tasks and capital owners capture that efficiency gain. Policies that require disclosure and transition funding do not reverse that economic fact. They acknowledge it and redistribute some of its consequences. Preventing automation is neither feasible nor desirable, but managing its distribution of harm is both.

Part 3: Organization and Academic Integrity

3.1 Clarity and Organization

This paper follows the structure required by the assignment rubric: Part 1 establishes a bounded problem with ethical grounding and sources; Part 2 analyzes stakeholders, proposes specific policies with feasibility arguments, and acknowledges critiques and unintended consequences; Part 3 documents academic integrity and AI use. Each section flows logically

from the preceding one. The Klarna case serves as the anchor throughout. The argument progresses from problem definition (labor displacement in agentic AI deployment) through stakeholder analysis (who benefits, who bears harm) through policy design (specific mechanisms with precedent and feasibility) to honest assessment of limitations and objections.

Concepts like the accountability gap, the so-so technology framework, and the precedent of existing automation policy are explained within flowing paragraphs rather than isolated as bullet points. This approach makes the argument readable and allows nuance to emerge alongside clarity.

3.2 Appendix on Generative AI Use

I used Claude (Anthropic) in three capacities while developing this paper. First, Claude helped identify and summarize the academic sources cited throughout, like Acemoglu and Restrepo, Gupta and Kumar, Horneber and Laumer, among others. It provided guidance on their relevance to the core argument. I then read these sources independently and made my own judgment about which to incorporate and where. Second, Claude provided structural feedback on organizing the analysis around labor displacement as a single, focused problem rather than attempting to address both labor displacement and predatory practices simultaneously, which was feedback that improved the paper's coherence and analytical depth. All substantive policy proposals, ethical frameworks, and analytical conclusions are my own work developed through research and critical thinking.

The most significant authored contribution is the four-mechanism policy framework (Right to Know, Impact Assessment, Automation Tax, Supply Chain Accountability). These are synthesized from my reading of precedent (EU labor law, Korean automation tax, NIST RMF, EU AI Act) combined with direct analysis of the Klarna case and the accountability gaps it

reveals. The critique section anticipating competitive disadvantage, implementation burden, substitution effects, and regional variance reflects independent thinking about policy trade-offs rather than enumeration of risks Claude suggested.

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